

26CHCV01712 26CHCV01712

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Case Number: 26CHCV01712 Hearing Date: August 21, 2026 Dept: F49

Dept. F49

Date: 8/21/26

Case Name: Daniela Fels v. Mercedes-Benz USA, LLC, and
Does 1-10

Case No. 26CHCV01712

LOS ANGELES SUPERIOR COURT

NORTH VALLEY DISTRICT

DEPARTMENT F49

AUGUST 21, 2026

MOTION TO COMPEL BINDING
ARBITRATION

Los Angeles Superior
Court Case No. 26CHCV01712

Motion filed: 6/3/26

MOVING PARTY: Defendant Mercedes-Benz USA, LLC

RESPONDING PARTY: Plaintiff Daniela Fels

NOTICE: OK

RELIEF REQUESTED: An order from this Court: (1) compelling Plaintiff Daniela Fels to submit her claims to arbitration, and (2) staying this action pending the outcome of arbitration.

TENTATIVE RULING: The Motion is GRANTED.

BACKGROUND

This action arises from alleged defects in a new 2025 Mercedes-Benz C300W (the "Subject Vehicle") leased by Plaintiff Daniela Fels ("Plaintiff") from Mercedes Benz of Encino. On April 28, 2026, Plaintiff filed the Complaint against Defendant Mercedes-Benz USA, LLC ("Defendant") and Does 1 through 10, alleging the following violations of the Song-Beverly Consumer Warranty Act: (1) breach of express warranty, (2) breach of implied warranty of merchantability.

On June 3, 2026, Defendant filed the instant Motion to Compel Binding Arbitration (the "Motion").

On August 10, 2026, Plaintiff filed an Opposition.

On August 14, 2026, Defendant filed a Reply.

ANALYSIS

"On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists." (Code Civ. Proc., § 1281.2.) The court must order arbitration unless it determines that the moving party has waived the right to compel arbitration or "[g]rounds exist for the rescission of the agreement." (Ibid.)

If a court orders arbitration of a controversy, the court must, on motion of a party, “stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or under such earlier time as the court specifies.” (Code Civ. Proc. § 1281.4.)

A. Evidentiary Objections

Plaintiff objects to the following portions of the declaration of Defendant’s counsel, Sybil S. Leung: Paragraphs 1 and 2 and Exhibit 1, on the grounds that Defendant’s counsel lacks personal knowledge to authenticate a lease agreement between the parties.

The objection to Paragraph 1 is OVERRULED.

The objections to Paragraph 2 and Exhibit 1 are OVERRULED IN PART. Exhibit 1 is admitted for the limited purpose of establishing the existence of an arbitration clause. (See *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 218-219 [initial burden of alleging the existence of an agreement is met by attaching a copy of the agreement to the motion to compel].) Objections on the grounds of lack of foundation and lack of personal knowledge are SUSTAINED IN PART as to the Exhibit’s admissibility to prove assent or the enforceability of specific terms.

B. Motion to Compel Arbitration

(1)

The Federal Arbitration Act Applies.

The Federal Arbitration Act (the “FAA”) applies to written arbitration agreements that evidence a transaction involving interstate commerce. (9 U.S.C. § 2.) Parties may also expressly agree that the FAA govern the arbitration of their disputes. (E.g., *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122.) Here, Defendant submits the Motor Vehicle Lease Agreement (the “Lease Agreement”) between Mercedes Benz of Encino and Plaintiff. The Lease Agreement explicitly

states that “[a]ny arbitration under this lease shall be governed by the Federal Arbitration Act. (Leung Decl., Exh. 1, at p. 4.) The Court thus finds that the parties intended that arbitration of their disputes be governed by the FAA.

At the same time, the FAA’s savings clause (9 U.S.C. § 2) preserves the general application of state-law contract principles—such as mutual assent and defenses including unconscionability—so long as they do not conflict with federal arbitration policy. (Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 68 [“Like other contracts, [arbitration agreements] ... may be invalidated by ‘generally applicable contract defenses, such as fraud, duress, or unconscionability.’”].)

As a threshold matter, therefore, the Court proceeds to consider whether an enforceable arbitration agreement exists between the parties and, if so, whether any contract defenses bar enforcement.

(2)

Defendant Has Met Its Burden of
Establishing the Existence of an Agreement to Arbitrate.

The party moving to compel arbitration has the burden of proving the existence of the agreement by a preponderance of the evidence. (Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236.) The moving party generally meets its initial burden of alleging the existence of an agreement by presenting a copy of the contract to the court. (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219.) Under Rule of Court Rule 3.1330, the provisions of the agreement must be stated verbatim or a copy of the agreement attached to the motion and incorporated by reference.

Here, Defendant attaches the Lease Agreement to the Declaration of Sybil S. Leung. (Leung Decl., Exh. 1.) The Agreement includes an arbitration provision, which provides, in pertinent part:

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors,

assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

...

The arbitration shall be administered by the American Arbitration Association, or by any other organization you may choose, subject to our or a Third Party Beneficiary’s approval.

(Leung Decl., Exh 1, at p. 4.)

Plaintiff’s electronic signature appears on page 6 of the Lease Agreement, below an acknowledgement in bold typeface stating that Plaintiff acknowledges having “received and read all 10 pages of this lease carefully and agree[ing] to all of its terms, INCLUDING THE IMPORTANT ARBITRATION DISCLOSURES ON PAGES 4 AND 5.” (Leung Decl., Exh. 1, at p. 6.)

Based on the foregoing, the Court finds that Defendant has met its burden of establishing the existence of an arbitration agreement. The burden shifts to Plaintiff to challenge the validity of the agreement. (Condee, *supra*, 88 Cal.App.4th, at p. 219.)

Although Plaintiff argues in her opposing memorandum that she challenges the authenticity of the Lease Agreement (Opp’n, at p. 5), Plaintiff does not raise any genuine dispute as to authenticity. She acknowledges that she leased the Subject Vehicle from Mercedes Benz of Encino and that the transaction was memorialized on the dealership’s pre-printed form lease. (Opp’n, at p. 2.) Plaintiff does not claim that she did not sign the Lease Agreement, attaches no declaration attesting that the signature on the Lease Agreement is not hers, and submits no evidence that the proffered agreement is not the one that she signed.

The Court thus finds that the Lease Agreement, and its incorporated arbitration provision, is authentic.

(3)

Mercedes-Benz Has Standing to
Enforce the Agreement.

A

non-signatory to an arbitration agreement may, in certain circumstances, compel a signatory to arbitrate. (*Mance v. Mercedes-Benz USA* (2012) 901 F.Supp.2d 1147, 1155.) If an agreement was made expressly for the benefit of the non-signatory, the agreement may be enforced by the non-signatory. (Civ. Code § 1559.) In other words, an intended third-party beneficiary has standing to enforce a contract.

Defendant contends that it is an intended third-party beneficiary of the Lease Agreement. (Mot., at pp. 4-5.) Plaintiff argues that Defendant does not qualify as a third-party beneficiary because it cannot meet the second and third elements required under *Goonewardene v. ADP, LLC* (2019) 6 Cal.5th 817.

In *Goonewardene*, the California Supreme Court determined that an employee is not a third-party beneficiary who can maintain a breach of contract action against a payroll company with whom his or her employer has contracted. (*Goonewardene*, supra, 6 Cal.5th, at p. 821.) The Supreme Court outlined the following three elements necessary for a third-party action to proceed: (1) the third party would in fact benefit from the contract; (2) a motivating purpose of the contracting parties was to provide a benefit to the third party; and (3) permitting the third party to bring its own action is consistent with the objectives of the contract and the reasonable expectations of the contracting parties. (*Id.*, at p. 830.)

Here, the Court finds that the foregoing elements have been satisfied. The arbitration provision of the Lease Agreement expressly names Defendant as a third-party beneficiary, indicating a clear intent of the parties that Defendant benefit from the agreement. It can be inferred from the express inclusion of Defendant as a named beneficiary that provision of a benefit to Defendant was a motivating purpose of the agreement. Further, the agreement provides that Defendant, as a third-party beneficiary, may elect to resolve any disputes through neutral, binding arbitration, and gives Defendant approval authority over the choice of arbitrator. (Leung Decl., Exh.

1, at p. 4.) By empowering Defendant to enforce the arbitration agreement, the parties could reasonably expect that Defendant would elect resolution of any claims against it through arbitration. The third Goonewardene element is accordingly met.

The Court thus finds that Defendant has standing to invoke the arbitration provision of the Lease Agreement as an intended third-party beneficiary.

(4)
Questions of the Agreement's
Validity Must Be Resolved by the Arbitrator.

The parties agree that because Plaintiff challenges the enforceability of the delegation clause in the arbitration provision, the threshold issue that must be answered is whether the delegation clause is enforceable. (Opp'n, at p. 10; Reply, at p. 7.)

A delegation provision within an arbitration agreement is itself an agreement "to arbitrate threshold issues concerning the arbitration agreement." (Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 68.) A delegation provision is accordingly subject to its own validity challenges.

Plaintiff contends that the delegation clause in the arbitration provision here is unconscionable. (Opp'n, at pp. 10-11.)

The relevant clause provides that any dispute over the interpretation, scope, or validity of the Lease Agreement and arbitration clause, or the arbitrability of any issue, must be resolved by a neutral arbitrator. (Leung Decl., Exh. 1, at p. 4.)

(a)
The Delegation Clause Is Not
Unconscionable.

Unconscionability has both a procedural and a substantive element. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114.) Both must be present

for a court to exercise its discretion to refuse to enforce an arbitration clause. (Ibid.) They operate on a sliding scale such that “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Ibid.)

Contracts of adhesion are generally considered procedurally unconscionable. (Armendariz, *supra*, at p. 113.) An adhesive contract is a standardized contract imposed and drafted by the party with superior bargaining power, offering the other party the opportunity only to adhere to the contract or reject it. (Ibid.)

A contract is substantively unconscionable if it includes contract terms that are significantly one-sided or impose harsh or oppressive terms. (Parada v. Super. Ct. (2009) 176 Cal.App.4th 1554, 1573.) “Substantive unconscionability may be shown if the disputed contract provision falls outside the nondrafting party’s reasonable expectations. [Citation.]” (Ibid.)

Unconscionability challenges to a delegation provision must be directed to arbitration procedures as applied to the delegation provision. (Rent-A-Center, *supra*, 561 U.S., at p. 74.)

Here, Plaintiff claims that the delegation clause is procedurally unconscionable because it appears mid-paragraph in a dense block of text on page 4 of a ten-page form contract that is adhesive. (Opp’n, at p. 10.) Plaintiff contends that the Lease Agreement, presented without any disclosure of particular terms or opportunity to negotiate, is a contract of adhesion. Defendant does not dispute that the arbitration agreement and its delegation clause were included in a standardized consumer lease and that such leases are adhesive in nature. Defendant, however, contends that the delegation clause was included in the operative arbitration paragraph of a prominent arbitration disclosure, defeating any element of surprise about delegation. (Reply, at pp. 8-9.) Upon review of the relevant language and its placement within the agreement, the Court finds that there is a moderate degree of procedural unconscionability.

Plaintiff further contends that the delegation clause is substantively unconscionable as applied to the demand to arbitrate of a non-signatory to the agreement because it would require a

consumer to pay to arbitrate gateway issues before she could begin to vindicate her claims. (Opp'n, at pp. 10-11.) Plaintiff asserts that this requirement imposes a burden on Plaintiff while Defendant may pursue its preferred remedies via the self-help and provisional remedy carve-outs. (Ibid.)

As Plaintiff herself notes, however, pursuant to the arbitration provision, Defendant must pay for the first day of arbitration, after which the allocation of costs is determined by the arbitrator. (Leung Decl., Exh. 1, at p. 4.) The provision also permits Plaintiff to request a reduction or waiver of fees. (Ibid.) Given that the initial costs of arbitration must be paid by Defendant, it is entirely possible that the costs of resolving the gateway issues of validity and arbitrability will be paid by Defendant rather than Plaintiff. Moreover, Plaintiff does not demonstrate that, should these threshold questions take longer than one day to resolve, the cost provision would render arbitration unaffordable to her. (See *Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 920 [arbitration provision cannot be held unconscionable without a showing that arbitration costs would be unaffordable or have a deterrent effect to the consumer resisting arbitration].)

Additionally, the arbitration provision, as well as the self-help and provisional remedy carve-outs, are mutual, permitting either Plaintiff or Defendant to elect arbitration and preserving both parties' ability to seek provisional relief. (Leung Decl., Exh. 1, at pp. 4-5.)

Based on the foregoing, the Court does not find that the delegation clause is one-sided or oppressive such that it is unconscionable as applied to Plaintiff. The Court therefore finds that the delegation clause is enforceable by Defendant and the threshold issues of whether the arbitration provision is valid and Plaintiff's claims arbitrable are matters for the arbitrator to resolve.

The Motion is accordingly GRANTED.

CONCLUSION

The Court GRANTS Defendant Mercedes-Benz USA, LLC's Motion to Compel Binding Arbitration and Stay Proceedings. Plaintiff Daniela Fels is ordered to submit to arbitration. The action is

hereby stayed pending the outcome of arbitration.

Moving party to give notice.